Cipher Digital (CIFR) — Earnings Update

3Q26 | 2 November 2026 | Post-call version | Josh (transcript work: Trevor)

1 Executive snapshot

Consensus thesis: Investors own Cipher as a Texas build-to-suit landlord whose 700 gross MW of backstopped or investment-grade leases turn into rent as halls are delivered, while pricing heavy doubt about build cost, dilution and parent funding.

Thesis status: Monitoring

Versus expectations: Quarter: miss on revenue ($26.7mn vs $38.44mn at the preview date, $38.69mn at the print), small diluted EPS beat (-$0.22 vs about -$0.25), and adjusted EBITDA -$10.0mn with no consensus found. Outlook: in line; no formal guidance, Barber Lake dates held on the September schedule, but FY26 revenue consensus of about $216mn now needs about $130mn in 4Q.

Biggest changes

• First rent, but small: 18 critical IT MW delivered at Black Pearl and $5.9mn of HPC lease revenue; mining was still 78% of revenue, so total revenue missed consensus by about 31%.

• Cipher issued a ready-for-service notice for Barber Lake's first 51 critical IT MW (call only; not yet rent). Cost is now about $13.0mn per IT MW against $10.4mn financed; management puts average yield on cost back at 15.2% only with the 20-year lease (12.9% without it).

• Management said early leases were rushed on immature designs. New leases wait for 30% to 60% design completion and are priced on yield on cost, which slows signing: no new campus lease since March.

• Shares rose 9.9% in a month (415.1mn at 30 September to 456.4mn at 30 October) on the convert exchange, and the 10-Q still names at-the-market sales as a liquidity source. Pro forma unrestricted cash and bitcoin is $724mn.

• Not asked on the call: Google's warrants carry a $435mn value test when the Fluidstack lease commences. At about $6.93 the 26.2mn warrant shares are worth about $182mn, so a shortfall of roughly $250mn would be owed in shares or cash [our approximate arithmetic; how value is measured is not disclosed].

• Project notes marked down: 10-Q fair values fell to 100.5, 97.9 and 95.6 of par at 30 September from 104.2, 101.5 and 100.4 at 30 June.

Investor takeaway: The contracted-rent view holds but should move from 'overruns are a one-off' to 'returns were preserved by a longer lease and parent cash': Barber Lake's cost rose 25% to about $13.0mn per IT MW, 41mn new shares followed, no new campus lease was signed, and long-term credit quality holds rather than improves until halls bill on schedule.

Monitor next quarter

• MW billing at 31 December by site, against 18 MW today and the 51 MW Barber Lake notice; first Barber Lake rent in the 4Q release.

• ERCOT final Batch Zero classification for Colchis in December, and any signed lease at Reveille, Ulysses or Odessa, with its funding mix.

• Parent cash after remaining Barber Lake funding, at-the-market use below $10, and how the Google warrant shortfall is settled at Fluidstack lease commencement.

2 Key changes this quarter

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 Rent starts on schedule	Black Pearl ramps from August; Barber Lake bills from 4Q26, all halls by 1Q27	18 MW delivered; 51 MW Barber Lake RFS notice; dates held. No MW-by-date schedule, and Black Pearl and Stingray both 'implementing updated phased delivery schedule'; three Black Pearl amendments revised milestones	Unresolved	Deck pp.11-12; 10-Q leases note; call (51 MW)
P2 Tenant credit is investment-grade	IG hyperscalers; Google backstop; AI lab extends	Deck repeats 'high investment-grade'. Backstop scope for years 11-20 not disclosed or asked; lab unnamed (deck p.7 names Anthropic with Fluidstack only on a water commitment); 10-Q says backstops apply only after rent commencement and carry limits	Unresolved	Deck p.5; 10-Q risk factors
P3 Build costs are contained	A Barber Lake one-off, shared above $359.3mn	$13.0mn per IT MW vs $10.4mn financed (+25%), $9mn-$11mn guided; $409mn of change orders, tenant repays $50mn. Hyperscaler leases have capex allowances; next leases face inflation through 2027	Challenged	Deck pp.9, 12; call
P4 Funded without common equity	Existing sites funded; new projects may need equity	$724mn pro forma; $1,610mn construction commitments mostly backed by project cash. Shares +9.9% in a month; ATM still a named source ($129.2mn raised in 9M at $23.50); equity for next project not addressed	Challenged	10-Q cover, liquidity; deck p.18
P5 Pipeline becomes leases	Odessa, Reveille, Ulysses sign; Colchis in 2028	No new campus lease since March (the AI lab's Barber Lake term is the only new agreement). Reveille and Ulysses still 'in discussions'; Colchis conditional, with any lease conditional on interconnection; design-first policy slows signing	Challenged	Deck p.15; call

Emphasis and disclosure shifts

Emphasized more	Emphasized less or dropped
Yield on cost as the pricing measure; 'not a neocloud'	Original $9mn-$11mn per IT MW as a current guide
Front-end design (30% to 60%) and construction reimbursement before lease	Speed of signing: August's 477 MW said to have cleared the milestones for lease execution
On-site gas: 2.5 GW of laterals, about 1 GW in talks, IPP model	Barber Lake estimate at completion: the $2,941mn-$2,966mn range from the October deck is not repeated (now per IT MW)
Batch Zero and 'PCLR' status of Colchis, Mikeska, Apollo, Stingray expansion	Equity position for a large new project (CFO addressed it in August, not now)

Analyst focus and Trevor's watch-list

Topic	2Q26	3Q26	Trend	Rating of 3Q answers
Build cost and yields	Rosenblatt, Needham	UBS, Cantor	Rising	Partial; timing of cost lock-in not answered
Power and interconnection	Morgan Stanley	Compass Point, BTIG, Cantor	Persistent	Direct on leases; deflected on batteries
On-site gas	none	BTIG, Compass Point	New	Direct
Odessa and pipeline	H.C. Wainwright, Macquarie	Wells Fargo	Persistent	Partial
Equity and funding	Jefferies	none	Fading (not asked)	n.a.
Backstop, converts, DSCR	none	none	Not asked	n.a.

Trevor's watch-list. No analyst was named by CK; I chose Brett Knoblauch (Cantor), who pressed hardest on cost, though on two quarters and one transcript the choice is thin. 3Q question: when were Barber Lake costs locked in? Answer: rushed leases, immature design, scope, labor, lead times; the lock-in date was not given. Rating: partial. Later evidence: EAC at the next 10-Q. Wider point: nobody asked about the backstop for years 11-20, remaining Barber Lake equity, convert puts or project coverage, even with the stock down sharply. 3Q Q&A is from the Investing.com transcript; 2Q topics are from a Nasdaq call summary, so the 2Q column is partial. — Trevor

3 KPI dashboard

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Flag
Revenue ($mn)	26.7	24.8	71.7	+7.5% / -62.8%	[↓]
HPC lease revenue ($mn)	5.9	nil	nil	new	[↑]
Bitcoin mining revenue ($mn)	20.8	24.8	71.7	-16% / -71%	[↓]
BTC mined at Odessa	~296	~346	n.d.	-14%	[↓]
Operating loss ($mn)	-71.9	-78.5	-37.6	better / worse	[~]
Adjusted EBITDA ($mn)	-10.0	-30.0	40.8	better / worse	[↑]
Interest expense ($mn)	59.0	66.7	1.3	-12% / n.m.	[~]
Interest income ($mn)	32.7	35.9	0.5	-9% / n.m.	[↓]
Capitalized interest ($mn)	37	16	n.d.	up	[↓]
Warrant mark ($mn)	+127.2	-150.5	+31.9	non-cash	[?]
Diluted EPS ($)	-0.22	-0.65	-0.01	better / worse	[?]
Critical IT MW delivered	18	0	0	new	[↑]
Contracted gross MW	700	700	n.a.	flat	[~]
Contracted revenue ($bn)	16.6	11.4	n.a.	+46%	[↑]
Avg. annualized NOI ($mn)	864	793	n.a.	window changed	[?]
Capex, cash ($mn)	1,553	964 (H1)	n.d.	sharply up	[↓]
Operating cash flow ($mn)	-131	-152 (H1)	n.d.	worse	[↓]
Cash, unrestricted ($mn)	656	832	n.d.	-21%	[↓]
Restricted cash ($mn)	2,197	3,728	n.d.	-41%	[~]
Debt principal ($mn)	6,016 (6.7bn pro forma)	6,016	n.d.	flat before Oct.	[↓]
Shares out (mn)	415.1 (456.4 on 30 Oct)	n.d.	n.d.	+9.9% in Oct.	[↓]

Flags: [↑] better, [↓] worse, [~] within normal range, [?] distorted. For debt, cost and share lines, ↓ means worse for shareholders. 3Q capex and cash flow are 9M less H1 (10-Qs). NOI: $793mn averaged October 2026 to September 2036; $864mn averages August 2026 to July 2041, so not like for like.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
Revenue, EBITDA	None given	Unchanged	FY26 about $216mn needs about $130mn in 4Q	n.a.	Consensus likely to fall [inference]
Barber Lake delivery	Halls 4Q26 to 1Q27; 51 MW RFS	Maintained since Sept.; October rent in August	Rent timing in line	Aligned with tenant compute deployment	KBW cut target $28 to $11, keeps Outperform
Black Pearl	Multiple halls by year-end; no MW	'Updated' schedule	n.a.	Phase I fit-out; Phase II electrical	Date risk unpriced
Stingray	Shell 4Q26; phased delivery from 2027	August said 1H27; now 'updated'	n.a.	On schedule	Watch for slip
Cost per IT MW	About $13.0mn; about 15.2% yield	Up from $10.4mn; 12.9% without extension	n.a.	Immature designs, scope, labor	Yield compares a 20-year average with a 10-year one
Pipeline energization	Reveille 3Q27; Ulysses 4Q27; Colchis 2028; on-site 2027-28	Colchis now conditional	n.a.	ERCOT final in December	Lease timing open

Underlying economic performance: rent has begun and the operating loss narrowed, but the quarter proves little; NOI is a projection until far more than 18 MW bills. Excluding the warrant mark, net income was -$95.6mn, which reconciles to diluted EPS of -$0.22 on 439.7mn shares.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Power and interconnection	Strong	Improving	Conditional base load at Colchis; 11 sites, about 6.8 GW	Scarcity value, subject to December
Site pipeline	Strong	Stable	941 acres added at Barber Lake and Black Pearl; 270 MW for 2027	Expansion optionality
Tenant quality	Strong	Stable	IG hyperscalers; lab extension; second term unrated	Financing depends on backstop
Cost of capital	Weakened	Weakening	Stingray marked at 95.6; 0% converts paid for with dilution	Next project costs more
Execution speed	Mixed	Unresolved	Black Pearl early; Barber Lake 25% over	Delivery record not yet earned

5-10 year view: long leases with strong credit make a durable annuity if delivered at cost. The franchise depends on power access, not on construction skill, which is still being proven.

6 Major risks and changes

Risk	Prior status	Current	Direction	Implication
Delivery, Black Pearl and Stingray schedules	Preview risk	Updated, no dates	Up	2027 revenue timing unclear
Barber Lake cost	Preview risk	About $13.0mn per IT MW; shared 50/50 above $359.3mn	Up	Parent bears more if costs rise
Parent funding, dilution	Preview risk	$724mn; shares +9.9%; ATM named	Up	Equity below $10 dilutes NOI per share
Google warrant top-up	Not flagged	$435mn value test the day before lease commencement; 26.2mn shares at $6.93 worth about $182mn, shortfall about $253mn	New	About 37mn shares at $6.93, or cash; timing depends on when commencement starts the exercise period, not disclosed [our arithmetic, approximate]
Convert puts	Preview risk	$2.2bn; puts October 2029, November 2030	Stable	Refinancing issue if stock stays low
Pipeline, ERCOT	Preview risk	Conditional; December	Stable	Lease timing depends on audit

Concern, response, evidence

Concern	Response	Evidence
Overruns destroy returns	Yield restored to 15.2% by lease extension	Arithmetic is management's; the longer term does the work. 12.9% is the honest 10-year comparison
Parent needs equity	Parent has flexibility; no equity for Odessa	10-Q relies on bitcoin sales and ATM for 12-month liquidity; $200mn revolver limited to $50mn before completion
Lease pace has stalled	Want the right lease, not the first	No new campus lease since March; demand claimed, not shown

7 Capital, funding and per-share impact

Site	MW (gross)	Tenant	Contract value	Cost / funded by	Status
Barber Lake	300	Fluidstack (Google support), then AI lab	$9.1bn, 20 yrs	About $13.0mn/IT MW; 7.125% notes $1,733mn plus parent equity; $1,278mn cash pro forma	51 MW RFS; halls 4Q26-1Q27
Black Pearl	300	IG hyperscaler	$5.5bn, 15 yrs	6.125% notes $2,000mn; $849mn cash	18 MW delivered
Stingray	100	IG hyperscaler	$2.0bn, 15 yrs	6.000% notes $810mn; $645mn cash	Shell by 4Q26

Parent: 0% 2031 converts $1,300mn ($16.03), 0% 2032 converts $850mn ($15.31; capped to $28.35), $6.6mn 2030 converts, $200mn revolver. Net debt about $3bn per CFO. Fair values at 30 September (10-Q, Level 2): 100.5, 97.9, 95.6 of par, implying yields near 7% for the Stingray notes [inference]; no later quote found. Price: $6.93 on 2 November at 9:55 ET (24/7 Wall St.), market cap about $3.2bn on 456.4mn shares, about 2x that in debt. CFO's claim that its bonds sit among the tightest of about 20 to 25 high-yield construction financings is unverified.

8 Monitoring checklist

Signals: (1) MW billing by site at 31 December; (2) ERCOT December result; (3) a signed lease and its funding mix; (4) ATM use in 4Q; (5) NOI per share. Tripwires: Barber Lake hall dates slip again; cost above $13.0mn per IT MW; equity issued below $10; rent credits. Confirmation: 51 MW plus further halls billing in 4Q revenue; a lease at Reveille or Ulysses funded at project level.

Questions for owners (preview questions and how the call answered them)

Question	Why it matters	Asked?
How many MW bill on 31 December by hall, and what if Hall 5 slips past March?	Test of FY27 near $850mn	Not asked; 51 MW and 18 MW given
What is the EAC today, what parent equity is left, and does Google's backstop cover the extended term? (credit)	Decides parent exposure and refinancing	Partly; per-MW cost given, equity and backstop not
How are $2.2bn of converts met at 2029 and 2030 puts with the stock near $7? (credit)	Parent ranks behind $4.5bn secured notes	Not asked
What changed in the Black Pearl schedule, and is it priced?	Largest near-term rent	Not asked; no dates
What share of the next project is parent equity; will you commit to no ATM below a price?	NOI per share	Not asked
When does project NOI cover interest, and what DSCR? (credit)	Tests non-recourse claim	Not asked

Read-across for Kona

Management's own account is the lesson: leases signed on immature designs cost Cipher 25% on build cost, and the hyperscaler leases with capex allowances passed overruns to the tenant while the modified-gross Fluidstack lease passed on only half of costs above the first $359.3mn. Kona should freeze design to at least 30% before signing and write a capex allowance into any lease. Rents are reportedly moving with financing costs, so Kona should quote on yield on cost (Barber Lake's achieved figure is about 15%; no target was stated) rather than a fixed $/kW-month. On-site gas is converging on an independent power producer that sells to the tenant under a PPA, with yields in line with grid sites, and Cipher targets gas in 2027 and about 1 GW of talks, so Kona's off-grid edge must rest on speed and gas cost, not on the model being unusual.